GOVERNMENT OF INDIA - MINISTRY OF COMMERCE AND INDUSTRY
OPERATIONAL GUIDELINES: TAX EXEMPTION UNDER SECTION 80-IAC OF INCOME TAX ACT (SECTION 80-IAC) / INTE

1. Overview & Objective:
Eligible startups can get 100% deduction on corporate profits for 3 consecutive financial years out of their first 10 years of incorporation.

2. Eligibility Criteria:
1. Incorporated as a Private Limited Company or Limited Liability Partnership (LLP).
2. Incorporated between 1st April 2016 and 31st March 2025 (as extended).
3. Annual turnover must not exceed Rs. 100 Crore in any financial year.
4. Working towards innovation, development, or commercialization of new products, processes, or services.

3. Financial Assistance and Subsidy:
1. 100% income tax exemption on profits for 3 consecutive assessment years chosen by the startup within the 10-year period.
2. Concession or margin money subsidy rate of 100.0 % subsidy.

4. Mandatory Documents Checklist:
1. DPIIT Certificate of Recognition
2. Audited Financial Statements & ITRs since incorporation
3. Detailed Video Link explaining product innovation and uniqueness
4. Memorandum and Articles of Association (MoA & AoA)

5. Application Procedure:
1. Mode: Online via Startup India Portal (Form-1 to IMB)
2. Official Portal: https://www.startupindia.gov.in/content/sih/en/tax-exemptions.html